

has also announced compensation totalling over ₹500 crore to severely impacted passengers.

Sanjay Lazar says the episode offers good lessons for the Indian aviation sector. The first is that the authority must prevent any airline from cornering such a huge market share and ensure better policing. “There is a total breakdown of the DGCA apparatus, or it is being totally managed by vested interests. That needs to change,” he says. The action against four DGCA staffers has invited controversy, with no responsibility being fixed on top officials calling the shots.

six departures per aircraft per day and any delay or cancellation means a trickle-down impact, as was seen during the first week of December.

The capacity constraint is expected to impact these numbers apart from future expansion plans. IndiGo will start getting new A321 XLRs from January and has announced deployment of the first one for direct connectivity to Greece. However, there is no clarity on the status of the international capacity addition.

Financially, IndiGo will possibly face a one-third dip in Ebitda in the near term. “Most

PILOT RECRUITMENT

With 65% market share, IndiGo enjoys a near monopoly, a rarity in most big markets. The civil aviation minister has said that with a growing aviation market, India can have five big airlines, but running an airline business is not easy in India. Several big players, Jet, Kingfisher and Go Air, had to stop operations amid rising debts.

Elbers has been emphasising that IndiGo is no longer an LCC (low-cost carrier) operation-wise. However, financially, it was run as an LCC with a tight budget – the highest aircraft/crew capacity usage with 400 aircraft, 2,300

IndiGo in Numbers

65%

MARKET
SHARE

950

AIRCRAFT ON
ORDER,
ONE PER WEEK

11,000

PILOTS NEEDED IN
NEXT 10 YEARS,
900 BY 2026

10%

REDUCTION
IN NUMBER OF
DAILY FLIGHTS

INDIGO STANDARD TIME

IndiGo is run on a meticulous and efficient tight schedule by maximum optimisation of man and machine. It flies an aircraft for 14 hours per day, with plans to take it to 16 hours.

Globally, Air Asia, Air Arabia and Air Dubai fly 16 hours. “Initially, there was a plan to increase the aircraft utilisation to 15 hours; an hour’s increase means addition of 25 aircraft to the network. It is an expensive asset with very high parking charges, so it is better to keep it flying if you want to become profitable,” says an IndiGo official.

The average industry norm in India is 8.5-10 hours. IndiGo logs

likely, it will face a 5-10% unit cost increase. It makes ₹1.20 per km in Ebitda. This will decline to around ₹1 per km. Over and above, you must consider a 10% reduction in volume, so you can see 30-35% impact on Ebitda in the near term. Any penalty will be over and above this,” says Dixit. He adds in FY27, even if we assume that IndiGo gets back its slots and non-fuel costs come down, the pilot hiring cost will remain 5-10% higher. “I was assuming 17-18% growth but now it might be slightly lower at 10-11%. In FY27, expect around 10% lower Ebitda margin, 8-10% lower volume and a 15-20% cut in earnings. By FY28, I think we will see normalised growth,” he says.

daily flights, and addition of 200 daily flights between January and November 2025. All this with the least pilot addition, 418 in FY25, compared to the previous five years.

IndiGo says it has enough pilots and the problem arose due to rostering issues under the new norms. It has already started hiring senior pilots and first officers. There are reports that the airline is looking to hire 50 expats but the clearance process for them to start operations will require at least three-four months. For pilots flying with other airlines, there is a one-year notice period for commanders and six months for first officers.

FIP chief Capt CS Randhawa